

From the Mouth of Design and Manufacturing Bosses



"Making a product successful does not only depend on getting the tech right. There are a lot of other factors involved as well. The company outsourcing electronic manufacturing services (EMS) should ensure that it gives accurate projections to the EMS partner." —**Mohandas Ukkandth, MD, Sparr Electronics**



"The more closely knit the customer and the manufacturer are with the design services company, the better is the product outcome." —**Sanket Bandyopadhyay, co-founder & VP, Daikoku Innovations**



"Indian MSMEs have done a good job handling IPs. China has been infamous for these issues. If IP issues are handled well, then the working between the manufacturing companies and the rest of the ecosystem becomes very well." —**Ashita Gupta, COO, Smile Electronics**



"It is relatively easy to marry the design and manufacturing part if the EMS partner understands the user profile the product is intended for. However, if the expectations do not match the intent, the venture becomes unscalable." —**Balamurugan R, owner, Pulsars**



"A good design company knows all about the best design parameters, it knows from where to source nuts, bolts and, if required, membranes and everything else. These things not only help save time for the EMS partner but also for the company that outsourced the requirement." —**Uday Kumar, director, Radiant Design**

such model could be where the entire IPR gets transferred to the company who outsourced the requirement. This model will require the design house to design and develop a particular product and then transfer the IPR to the company that had given the order, before moving to the mass manufacturing phase. The other model, as explained by Sanket, could be the royalty based IPR model.

In the royalty model, the design organisation who developed the product keeps the IPR and bills the company in the form of royalty on the basis of every product they manufacture and sell based on that particular IPR. "Every product a company manufactures based on that particular IPR, the design company owning the IPR gets a royalty fee on that," says Sanket.

The third model could be build, develop, and transfer mode. This model includes developing and running a product for an entire year and then shifting everything of that product, including the IPR, to the company that had given the order.

Mohandas explains that even when a company reaches out solely for the design part, it ends up getting the product manufactured from the design company in most of the cases. He says, it is critical for a design company to not give any reason to such customers to reach out to other companies for manufacture after the design part is over. That simply means that design and manufacturing houses are usually as concerned about the product development as you are.

If you are willing to secure your product copyrights even beyond the IPR, then non-disclosure agreements (NDAs) may be the answer. NDAs, as per Uday, can be used by customers to gain more confidence about outsourcing design and manufacturing. These are like promises and word of mouth sealed on a piece of paper cemented by the law, as per Uday.

But sometimes not getting into the IPR part can be rewarding too. If you do not own an IPR, or have not signed any kind of NDA with the design house, then following your relationship with the same you might get access to better versions of the same product over time. The best part is that this does not incur any additional charges than what you pay for manufacture. The design and manufacturing house wants to offer better versions, and now it wants to sell, so it will have to come to you and tell you that it has created a better version of the product you had suggested for it earlier.

"One advantage of not owning the IPR is the fact that customers get access to better versions of the same product without having to pay anything extra. He does not own any IPR, so he can easily switch to the better variants. The same has the potential to form long-term agreements between the two parties," points out Balamurugan. **EFY**



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